

An example shown in [Table 7.1](#) outlines how the trading rule would work in practice. Consider a hypothetical market index price of 25.

[Table 7.1](#) Example Simple Moving Average Calculation

Date	Price	Return
0	25	
1	24.263	−2.95%
2	24.141	−0.50%
3	24.214	0.30%
4	24.502	1.19%
5	24.384	−0.48%
6	24.716	1.36%
7	24.980	1.07%
8	24.850	−0.52%
9	24.905	0.22%
10	24.599	−1.23%
11	23.942	−2.67%
12	23.504	−1.83%
12-Month Simple Moving Average	24.42	

In the example, the current price at $t = 12$ is 23.504, which is less than the 12-month moving average of 24.42. The MA trading rule would suggest that we stay in cash, as the current price (23.504) is below the current 12-month average (24.42).

Time Series Momentum Rules (TMOM)

Time series momentum rule (TMOM) buys assets when excess return is greater than zero and invests into the alternative assets (e.g., cash or money market) when the excess return is less than zero. The excess return is measured as the total return over the past N months less the return of the Treasury bill (one could use other benchmarks). TMOM can be measured more formally as follows: